Catholic University of Central Africa (UCAC)

Faculty of Social Sciences and Management

First Semester Examinations – 2022/2023

Problems of Economic Policy (BME3)

Time – 3 Hours

Note: Attempt ALL questions

Question 1 (25 marks):

Read the passage below and answer the questions that follow.

The government of a country was facing a number of economic problems and decided to create an Industrial Free Zone (IFZ) to resolve some of the problems. A General Manager (GM) was appointed to coordinate the activities of the IFZ. After a number of years of operation, the GM received the following memo from the Minister of Industrial Development of the country.

From: Minister of Industrial Development

To: The General Manager, Industrial Free Zone

Subject: The Failure of IFZ to promote government policies

1. As you understand, the IFZ was established to promote the industrial development of the country through creating small industrial complexes that will transform our local raw materials in order to add value. In addition, shortages of investible resources, foreign exchange and unemployment problems plagued the country, which is largely dependent on imports of consumer and capital goods. The State thus sort to build up its industries from a rather small base. To do this, the government decided in principle to offer special incentives to foreign investors with primary objective of increasing industrial investment. By attracting more foreign capital, the government also hoped to expand employment opportunities, reduce pressure on the balance of payments, public budget and stimulate further investments from domestic sources.
2. After so many years of operation, we have noticed that IFZ has not expanded much. There are complaints of lack of implementation of some of the measures such as tax holidays, duty relief and cheap credits, which would have acted as incentives to attract foreign and domestic investors. On the contrary, importation of basic goods that could have been produced in the IFZ have increased, thereby creating BOP problems. Government subsidies to some of the established firms increased, leading to budget deficits. In addition, the wage bill of IFZ workers has increased due to excess employment of staff, some who are unqualified and others based on unorthodox criteria.
3. I invite your response to the facts mentioned above.

a) Explain what you understand by the Principal-Agency Theory. Identify the principal, the agent and the problems caused by the agent in the passage.

b) Outline 3 objectives of government economic policies mentioned in points 1 and 2 in the passage.

c) What 3 policy instruments did the government envisage to attain its objectives? Give a brief description of how each instrument function.
d) What do you understand by 'unorthodox criteria' of employment in point 2?
e) What are some of the causes of increased wage bills of IFZ mentioned in point 2?

Question 2 (20 marks):

Give brief answers to the following questions:

i. State two goals of economic policy (not more than 6 words)
ii. Name two types of economic policies (not more than 6 words)
iii. Name two tools of economic policy (4 words)
iv. State two importance of Public Policy (2 phrases or sentences)
v. What concept applies to a situation where imports exceed exports (2 words)
vi. List two policy instruments used to solve a budget deficit
vii. Name two impacts of budget deficit on the macro-economic balance (2 sentences or phrases)
viii. What name is given to policies aimed at stimulating the economy (2 words)
ix. Give any two ways in which conflicts between economic policy objectives can be resolved (4 words)
x. Name two types of economic systems in which economic policy plays an inmportant role (not more than 6 words)

Question 3: (20 marks)

i. Explain how the following objectives of economic policy conflict
   a. High saving and satisfaction of private consumption wants
   b. Price stability and increased employment
ii. Explain how the following instruments of economic policy are used to solve some economic policy problems:
   a. Exchange controls
   b. Exchange rate
   c. Wage controls
iii. Explain the interaction between policy making and politics
iv. What are trade-offs? How is this used to resolve conflicts in economic policy?
v. Distinguish between Classical and Keynesian economic policies

Question 4: (5 marks)

The following statements are either true or false. Write 'True' for the correct statement and 'False' for the wrong one. DO NOT COPY the statements.

i. Economic disruptions cannot be caused by government policy.
ii. Government budget affects private investment.
iii. All economic policies are aimed at fostering economic growth.
iv. Contractionary fiscal policy is aimed at reducing aggregate demand.
v. A reduction in interest rate reduces importation.
vi. An expansionary monetary policy heats up the economy.
vii. Supply side policies are aimed at increasing the level of technological progress in the economy.
viii. Implementation of economic policies over time may lead to inconsistencies.

ix. Competing and conflicting objectives have the same effects in economic policy implementations.

x. Requests for official and foreign aid is to reduce income inequalities and to regulate aggregate demand.